



The Morning Brief

MAY 28, 2026

Unravelling

The ceasefire exists in name only as the US and Iran trade air strikes near Bandar Abbas, Fear & Greed crashes to Extreme Fear at 22, and oil falls 4% as rate hike fears eclipse the war premium.

SPY	BRENT CRUDE	GOLD	BITCOIN	FEAR & GREED
\$750.46 ↓0.02%	~\$102 ↓3.7%	~\$4,490 ↓1.3%	Flat	22 · Extreme Fear

SECTION 01

Markets

THE INDEX HOLDS AT ATH WHILE SENTIMENT COLLAPSES BENEATH IT

Wednesday's session produced the most significant divergence of the recovery: the S&P 500 was essentially flat (−0.02%), holding near its all-time high at approximately 7,505, while Fear & Greed crashed to 22—back into Extreme Fear for the first time since mid-April. The index went from neutral (50) to Extreme Fear (22) in approximately two weeks without a meaningful drawdown in price. The divergence reflects a market where the headline index is supported by concentrated tech and discretionary strength while the underlying positioning is deteriorating. Discretionary (+1.76%) and staples (+1.14%) led Wednesday; tech (−0.38%), energy (−1.49%), and financials (−0.83%) lagged. UVXY fell 3.25% even as the ceasefire unravelled—the options market is not pricing the strike exchange as a systemic event. Futures are near 7,538 in Thursday premarket, modestly higher.

OIL AND GOLD BOTH FALL ON RATE HIKE FEARS — THE WAR IS NOW AN INFLATION EVENT

The most counterintuitive move: oil fell 4.36% (WTI) and 3.69% (Brent) on a day the US and Iran traded air strikes. Gold dropped 1.33% to a two-month low. Silver plunged 3.18%. The traditional playbook says commodities should rally on escalation. Instead, the market is pricing the war's inflationary impact as a rate hike catalyst rather than a supply disruption event. Reuters characterized gold's decline as driven by "US-Iran tension stoking inflation and rate hike fears." The dollar strengthened on expectations of tighter monetary policy, which compresses commodity prices denominated in dollars. For IOWN, this reframes the energy sleeve: CVX, VLO, OKE, and CTRA are no longer benefiting from a risk premium but are facing the same rate-driven headwind as every other asset class. The energy sector fell

1.49% on Wednesday despite active combat in the Strait of Hormuz.

SEMI SLEEVE GIVES BACK GAINS — QCOM −6.20%, MRVL −4.59%

The semiconductor names that surged on the Trump-Xi chip export thaw and AMD earnings are now pulling back. QCOM fell 6.20% to \$233.40, MRVL declined 4.59% to \$198.70, and FTNT dropped 4.50%. COIN shed 3.46%. The bottom five were concentrated in the growth and tech sleeves. On the positive side, SUPV surged 9.24%, HUT gained 4.53%, STLD added 3.09%, and HOOD rose 2.89%. The rotation from growth into value and smaller names mirrors the broader market dynamic: the concentrated tech rally is pausing while the rest of the market catches up or, alternat-

ively, the entire complex is repricing for a tighter rate environment.

FEAR & GREED	22 · Extreme Fear · Crashed from 50 in two weeks
OIL	WTI ↓4.36% · Brent ↓3.69% · Fell on escalation day
GOLD	Two-month low · Rate hike fears > safe-haven bid
UVXY	↓3.25% · Options not pricing strikes as systemic
DOLLAR	Strengthening on rate expectations
S&P FUTURES	~7,538 Thu AM · Modestly higher

The market has stopped treating the war as a geopolitical crisis and started treating it as an inflation tax. Oil down 4% on a day both sides trade air strikes tells the story: the war premium has been replaced by a rate premium. The portfolio's construction—built for sustained uncertainty—applies in both regimes. Avoid Erosion.

Geopolitics

CEASEFIRE IN NAME ONLY — BOTH SIDES TRADING STRIKES NEAR HORMUZ

The US shot down four Iranian drones and struck an Iranian ground control station near Bandar Abbas that was preparing to launch a fifth, according to CNN and ABC News. Three explosions were heard east of the strategic port city. Iran’s IRGC retaliated by targeting an unspecified US airbase in the region. Kuwait reported intercepting hostile missile and drone attacks. This marks the second time this week the US has struck Iranian targets near the Strait. The US characterized both sets of strikes as within the bounds of the ceasefire; Iran condemned them as violations. The ceasefire, originally agreed April 8 and extended indefinitely in late April, now exists as a diplomatic fiction rather than a operational reality. Reuters described the situation as the ceasefire “unravelling.” For markets, the escalation has been absorbed without a meaningful equity drawdown—the S&P held within 30 basis points of its all-time high. Three months of conflict have compressed the market’s sensitivity to each new military exchange.

THE MOU FRAMEWORK STALLS AS COMBAT RESUMES

The 14-point memorandum of understanding that appeared close to finalization last week has stalled. Trump stated he would not rush a deal, per CNN. Iran’s IRGC warned of further retaliation. The remaining clauses that had been described as “one or two differences” appear to have widened as military operations resumed. The Hormuz deal that Trump discussed with Xi in Beijing—which produced the Chinese vessel transit opening—has not translated into a broader reopening. The key energy and shipping trends after three months of disruption are now structural, per Reuters: supply chains have been permanently rerouted, insurance

markets have repriced, and the Hormuz corridor operates under a fundamentally different risk regime than pre-February 28.

US STRIKES	4 drones shot down + ground station hit near Bandar Abbas
IRGC RESPONSE	Targeted US airbase · Warned of further retaliation
KUWAIT	Intercepting hostile missile and drone attacks
MOU STATUS	Stalled · Trump: “won’t rush”
CONFLICT DURATION	Day 89 · 3 months of Hormuz disruption

On Our Radar

1. F&G at 22 while the S&P is at ATH is the most extreme price-sentiment divergence of the entire conflict. Either price is wrong (the index should be lower) or sentiment is wrong (positioning should be higher). Historically, when this divergence resolves, it resolves toward the price signal—meaning sentiment catches up and the index holds. But the resolution requires a catalyst: either the MOU materializes or the rate hike fears ease. Without either, the divergence could persist or resolve negatively. *Think Like an Owner.*

2. Oil falling 4% on an escalation day signals a regime change in how the market prices the conflict. The war premium has been replaced by a rate premium. If rate hike expectations continue to build, the energy sleeve faces a different headwind than the one it was designed for. CVX, VLO, OKE, and CTRA were positioned for supply disruption; they are now facing demand destruction via tighter monetary policy. The dividend sleeve's cash-generative names (ADP, FAST, SYK) may outperform in this regime. *Research Reveals Opportunities.*

3. The semi pullback (QCOM -6.20%, MRVL -4.59%) is profit-taking, not thesis deterioration. AMD's Q1 data center revenue of \$5.8B (+57%), the Trump-Xi chip export thaw, and MRVL's BofA \$200 target remain intact. The pullback follows double-digit single-session gains across multiple names. For the sleeve, the question is whether the rate hike narrative overwhelms the AI capex cycle or whether the two can coexist. Historically, tech has performed through tightening cycles when secular demand is strong enough. **The physical world matters.**

4. CRDO reports June 1 — the next test for the Q2 additions. Credo Technology's Q4/FY2026 results will reveal whether the DustPhotonics acquisition, AI connectivity demand, and the analyst upgrade cycle are translating into fundamental delivery. The stock has gained significantly since the rebalance. A clean beat sustains the thesis; a miss at elevated multiples could produce an outsized reaction, consistent with the ABT pattern from April. *Avoid Erosion.*

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